

PCS Loan Module — Demo Script

Five worked IFRS 9 examples — modifications, POCI and integral fees

FIS Private Capital Suite · Loan Module V4.17

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How to use this document

Five internally-built deals, all IFRS. The first three demonstrate different kinds of change to contractual cash flows; the fourth demonstrates a purchased credit-impaired asset, measured on an entirely different basis; the fifth shows what happens to a fee that is integral to the effective rate, including the awkward case where it arrives before the loan does. All are saved in the workspace and ready to open — no import step, no file to load.

Each section gives you: the business story, the exact screens to open in order, what to point at on each screen, and the accounting outcome to land. The figures quoted are the ones the module produces, verified against the engine.

Total running time, all five deals, roughly **60 minutes**. Deal 1 alone is a workable 12-minute demo if that is all you have; deals 1 and 4 together make the strongest 25-minute pairing, because they contrast the two completely different ways IFRS 9 handles a distressed borrower. Deal 5 is the one to lead with for a finance audience that cares about revenue recognition rather than credit.

	Deal code	Shows
1	DEMO-MOD-S3	Coupon increase, maturity extension, amendment fee, PIK year, Stage 3
2	DEMO-DEFER-PIK	Twelve-month principal holiday; cash coupon splits to cash + PIK; EAD grows
3	DEMO-FORGIVE-S3	Principal forgiveness, extension, covenant reset, fee into EIR
4	DEMO-POCI	Distressed secondary purchase; credit-adjusted EIR; no day-one allowance
5	DEMO-FEES-EIR	Integral fees; a fee received before drawdown; deferred fee liability

Before you start. Open the module, confirm the version banner reads V4.17 or later, and check the Active Deal dropdown lists all five deal names. If a deal is missing, the workspace connection has dropped — reconnect before you begin rather than mid-demo.

The one idea the whole demo rests on

Say this once at the start and refer back to it. Everything else is detail.

When a borrower gets into difficulty and the terms change, the lender does not simply carry on. IFRS 9 §5.4.3 requires the gross carrying amount to be recalculated as **the present value of the revised contractual cash flows, discounted at the original effective interest rate** — and the difference goes straight to profit or loss.

Two words carry the weight. *Revised*: the new cash flows, on their new dates. *Original*: the old rate, held deliberately, because the rate is what the lender locked in at inception and the modification is a change to the cash flows, not to the pricing of the original bargain.

The follow-up question from any auditor in the room will be: *how do you know that number is right?* The answer in this module is that it is derived and shown as a build-up, not typed in. That is the single most important thing to demonstrate.

Deal 1 — Amendment, extension and a PIK year

DEMO-MOD-S3 · Atlas Industrial Holdings · USD 100,000,000

The story

A five-year term loan drawn at par on 1 January 2024, paying SOFR plus 5%, maturing 31 December 2028. Eighteen months in, the borrower hits a liquidity wall. The lenders agree a package: the margin rises to SOFR plus 7%, maturity extends two years to 31 December 2030, the lenders take a 2% amendment fee, and the first post-amendment year of interest is paid in kind rather than cash.

Four things change at once, and each one moves the cash flows in a different direction. That is the point of this deal — it is the realistic case, not the textbook one.

Screen 1 · Loan Builder — Deal Setup

Open: Stage 0 · Loan Builder, Deal Setup card.

Point at: the maturity date, 31 December 2030.

Say: this is the loan as it stands today, after the amendment. The original maturity is not lost — it is recorded on the modification event, which we come to. The Builder always shows current terms; history lives in the events.

Screen 2 · Loan Builder — Tranche A, interest components

Open: same screen, scroll to the Tranche A card, expand Interest Components.

Point at: there are **two** components, not one.

Component	Settlement	1 Jan 24 – 30 Jun 25	1 Jul 25 – 30 Jun 26	From 1 Jul 26
Cash margin over SOFR	cash	+500 bps	–400 bps	+700 bps
PIK margin	capitalised	0 bps	+1100 bps	0 bps

Say: this is how the module represents a coupon that changes both its *rate* and its *settlement basis* over time. The spread schedule on each component is date-windowed. During the PIK year the cash

component is suppressed to nil and the capitalised component carries the whole 11% — SOFR at 4% plus the new 7% margin. On 1 July 2026 it reverses and interest goes back to cash.

Why this matters: a single component carries one settlement type for its whole life. Modelling a bounded PIK holiday needs two components with complementary windows. Mention this if anyone asks how they would set it up themselves — it is the one piece of structure that is not obvious.

Screen 3 • Loan Builder — Fees

Open: the Fees card.

Point at: Amendment fee, USD 2,000,000, one-off, payment date 1 July 2025, IFRS treatment IFRS9-EIR.

Say: the fee is not income on the day it arrives. It is a cash flow between the borrower and the lender, so under §B5.4.6 it belongs in the recalculation. Watch the treatment flag — if it were marked as payment for a service it would be IFRS 15 revenue and would stay out of the effective rate entirely. One dropdown, two completely different income profiles.

Screen 4 • Accounting Treatment overrides

Open: Stage 2 • Accounting Treatment.

Point at, in this order:

1. **ECL Stage = 3.** Credit-impaired. The borrower's difficulty is severe enough that default is no longer a probability, it is a condition.
2. **PD 100% • LGD 40%.** At Stage 3 the probability term drops out and the allowance is driven by loss given default.
3. **Stage 3 interest on net carrying amount.** Interest is recognised on the amount net of the allowance, not the gross balance — §5.4.1(b).
4. **Modification default treatment = non-substantial.** This is the policy switch that decides whether the loan is derecognised or re-measured.

Say: these four fields change the answer more than anything else on the screen. Everything above them describes the loan; these describe our judgement about it.

Screen 5 • Run accounting

Open: Stage 2 • Run & JEs. Press **Run Accounting**.

While it runs, set up the next screen verbally: *what we are about to look at is the one number the whole restructuring turns on.*

Screen 6 • The modification build-up — the centrepiece

Open: the Evidence Pack, modification panel.

This is the moment the demo exists for. The module derives the gain or loss rather than accepting it:

Pre-modification gross carrying amount	98,000,000
Solved effective rate	9.3859%
PIK element added for the discount basis	+ 11.00%
Original effective rate used	20.3860%

Revised contractual cash flows:

Amendment fee, 1 Jul 2025, at t=0	2,000,000
Quarterly interest at 11% to 31 Dec 2030	
PIK capitalising into the balance quarterly	
Principal repayment, 31 Dec 2030	

Modification GAIN	8,033,913
PV change against carrying amount	+8.17%

Three things to say, in this order:

It is a gain, not a loss, and that surprises people. The borrower is in difficulty, so the instinct is to expect a write-down. But the lenders have negotiated a *better* deal for themselves: a higher margin, for longer, plus a fee. Discounted at the old 9% rate, that stream is worth more than par. The credit deterioration is real — it just shows up in the ECL, not here. Two separate effects, two separate places in the accounts. Conflating them is one of the commonest errors in practice.

The discount rate is not the coupon, and that catches people out. The module solved an effective rate of 9.3859% on the cash coupon, then added the 11% PIK element because the cash flows being discounted include interest that capitalises. Rate and cash flows have to be on the same basis. Discounting a stream that compounds at cash plus PIK by the cash rate alone prices a 20% instrument at 9% — which, before this was corrected, reported a gain of 66.3m on this very deal.

At 8.17% this one sits under the threshold. \$B5.4.6 treats a PV change of 10% or more as substantial, requiring derecognition rather than re-measurement. Deal 1 is comfortably inside it; deal 3, at -13.21%, is not. Use the pair to show that the test is applied and reported, not assumed.

Every input is on the screen. The rate used, the flows discounted, the dates. If an auditor asks how the figure was arrived at, this panel is the answer. Contrast with what the module did before V4.13 — it took the number on trust.

Screen 7 • Journal entries

Open: Run & JEs, journal table. Filter to 1 July 2025.

	DR	CR
Modification gain	15000 Loan Asset Adjustment	44000 Modification Gain (IFRS 9 \$5.4.3)

Say: the carrying amount of the asset goes up and the gain goes to P&L. One entry, one date, fully traceable back to the build-up we just looked at.

Screen 8 • ECL

Open: the ECL Calculation Trace panel.

Point at: the step change in the allowance at 1 July 2025 when the deal moves to Stage 3, and the period-by-period table below it.

Say: this is where the credit deterioration lands. The modification gain and the impairment charge are independent — one reflects the revised bargain, the other reflects the borrower's capacity to honour it. A room that understands why those are separate has understood IFRS 9 modification accounting.

Deal 2 — Payment deferral and a PIK split

DEMO-DEFER-PIK • Northwind Logistics Group • USD 100,000,000

The story

A five-year amortising loan drawn 1 January 2025, repaying 5,000,000 a quarter, paying a 10% cash coupon. One year in, with 20,000,000 repaid, the borrower asks for breathing room. Two concessions on 1 January 2026: no principal payments for twelve months, and the 10% cash coupon splits into 6% cash plus 4% paid in kind.

Neither concession changes the rate. Both change *when* the lender sees the money. This deal exists to show that timing alone moves the numbers.

Screen 1 · Loan Builder — the repayment schedule

Open: Stage 0 · Loan Builder, Tranche A, Paydowns card.

Point at: the gap.

2025-03-31	5,000,000	2027-03-31	6,666,667
2025-06-30	5,000,000	2027-06-30	6,666,667
2025-09-30	5,000,000	...	
2025-12-31	5,000,000	2029-12-31	6,666,667
↑ nothing at all in 2026 ↑			

Say: sixteen instalments, not twenty. 20,000,000 paid before the amendment, nothing for a year, then the remaining 80,000,000 across twelve larger payments. The total repaid is identical. Only the dates moved — and that is enough to change the present value.

Screen 2 · Loan Builder — the two components

Open: Interest Components on the same tranche.

Component	Base	Settlement	2025	From 2026
Cash coupon	FIXED 6%	cash	+400 bps → 10%	+0 bps → 6%
PIK coupon	FIXED 0%	capitalised	0 bps → 0%	+400 bps → 4%

Say: the all-in rate is 10% throughout. Nothing about the pricing changed. What changed is that four points of it now accrue to principal instead of arriving as cash. Point at the settlement type column — that single field is the whole modification.

Screen 3 · Run accounting, then the modification build-up

Open: Run & JEs → Run Accounting → Evidence Pack, modification panel.

Pre-modification carrying amount (balance at 1 Jan 2026)	80,000,000
Original effective rate (6% cash + 4% PIK)	10.00%

PV of revised cash flows at 10%	80,393,618
Modification GAIN	393,618
PV change	+0.49%

Say: essentially a wash — half a percent. And that is the correct answer. The lender still earns 10% on every dollar outstanding; the deferral keeps more principal outstanding for longer, and the PIK accretion compounds into a larger final repayment. Discounted at the same 10%, those effects very nearly cancel.

The teaching point: a concession that *feels* generous can be close to value-neutral in present-value terms, and the only way to know is to do the arithmetic. Well under the 10% threshold, so non-substantial treatment is clearly right here — unlike deal 1.

Screen 4 • The balance path — where the real story is

Open: the Cashflow tab, balance chart.

Point at: the balance *rising* through 2026 while no principal is repaid.

Say: this is the point your credit team will care about more than the gain. On a 100,000,000 balance, a year of 4% PIK adds 4,000,000. The borrower now owes 104,000,000, not 100,000,000.

Screen 5 • ECL — exposure at default

Open: the ECL Calculation Trace.

Point at: the allowance rising during the PIK period even though the stage does not change and the PD and LGD are untouched.

Say: Stage 2, lifetime ECL, PD 5%, LGD 40% — all constant. The allowance grows purely because exposure at default grows. Deferring cash and capitalising interest increases the amount at risk, and the ECL follows automatically. This is the clearest illustration in the whole demo of why the modules have to be joined up: a change made for liquidity reasons raises the impairment charge without anyone touching a credit parameter.

Deal 3 — Principal forgiveness and a covenant reset

DEMO-FORGIVE-S3 • Caledon Specialty Materials • USD 100,000,000

The story

An 8.5% fixed-rate term loan drawn 1 January 2024, originally maturing 31 December 2028. At the December 2025 covenant test the borrower reports leverage of 5.6x against a 4.0x limit — a clear breach. The restructuring agreed on 1 January 2026 has three parts: 15,000,000 of principal is forgiven outright, the maturity extends two years, and the leverage covenant resets to 6.0x in exchange for a 1% amendment fee on the restructured principal.

Screen 1 • Covenants

Open: Stage 0 • Loan Builder, Covenants card.

Point at: both covenants are on the deal.

	Threshold	Last reported	Consequence
Leverage ratio (original)	max 4.0x	5.6x	SICR trigger
Leverage ratio (reset)	max 6.0x	—	SICR trigger

Say: the breach is recorded, not just the fix. The original covenant shows 5.6x against a 4.0x limit — that is the event that forced everyone to the table. Both carry a SICR trigger, so a breach moves the deal from Stage 1 to Stage 2 automatically under §B5.5.17(k), before anyone exercises judgement.

The covenant reset itself changes no cash flows. It is a concession on terms. Make that explicit, because it is the contrast that makes the next two screens land.

Screen 2 · The forgiveness

Open: Stage 2 · Lifecycle Events.

Point at: the forgiveness event, 1 January 2026, 15,000,000.

Say: note what this is *not*. It is not a repayment — no cash arrives. The balance falls from 100,000,000 to 85,000,000 because the lender has given up the right to collect it. If this were booked as a repayment the loss would vanish and the accounts would show a loan that paid down normally.

It is also not a write-off, and that distinction is the point of the screen. IFRS 9 §5.4.4 writes off a gross amount the entity has no reasonable expectation of recovering, taken against the loss allowance. This is nothing of the kind: the lender *chose* to forgive, as one term in a negotiated package. That makes it a change to the contractual cash flows — §5.4.3 — and its whole effect belongs in the modification gain or loss.

Worth saying plainly: the module used to do both, and the result was wrong in a way that looked reasonable. The carrying amount fell by the forgiven principal, and the modification then measured only what was left — a 3.3m loss on a 15m concession. It was caught by running this deal end to end against the demo script. Now the balance falls here and the carrying amount is moved by the modification, once.

Screen 3 · The fee

Open: the Fees card.

Point at: 850,000 — 1% of the *restructured* 85,000,000, not the original 100,000,000 — dated 1 January 2026, flagged IFRS9-EIR.

Say: priced off the facility going forward. And like deal 1's fee, it goes into the effective rate, not to income on receipt.

Screen 4 · The modification build-up

Open: Run Accounting → Evidence Pack, modification panel.

Pre-modification gross carrying amount	99,342,380
Original EIR (solved)	8.6603%
Forgiven within the restructuring	(15,000,000)

PV of revised cash flows at 8.6603%:

Amendment fee, 1 Jan 2026, at t=0	850,000
Quarterly interest at 8.5% on 85,000,000 to Dec 2030	
Principal repayment, 31 Dec 2030	85,000,000
PV =	86,220,347

Modification LOSS	(13,122,033)
PV change	-13.21%

Balance after the restructuring	85,000,000
Carrying amount after	86,221,691

Four things to say:

The loss is not 15,000,000. That is the number everyone in the room expects, and it is wrong. The forgiveness costs 15,000,000 of principal, but the lender gets 850,000 of fee and two extra years of 8.5% interest on the remaining 85,000,000. Net, the loss is 13.1m. Anyone booking the headline forgiveness figure would have overstated the charge by nearly 1.9m.

The carrying amount is not 100,000,000 either. It is 99,342,380, because the 850,000 amendment fee was deferred and has been accreting since the deal was written. Small, but it is the sort

of detail that decides whether a reviewer trusts the rest of the number — and it is why the figure is 13.12m rather than the round 13.25m you would get by assuming par.

This one also breaches the 10% test, at –13.21%. Same conversation as deal 1, opposite direction — and here the case for derecognition is considerably stronger, because a partial forgiveness is close to the paradigm of an extinguished original asset.

The carrying amount after ties to the present value. 86,221,691 against a PV of 86,220,347 — the 1,344 is a single day of accretion between the measurement and the next schedule row. If those two numbers did not tie, the modification would not have been applied correctly, so it is a check worth doing out loud.

Compare it with deal 2. Same module, same method, same discount approach — +0.49% on a timing change, –13.25% on a forgiveness. The method does not care what kind of concession it is; it discounts whatever the revised cash flows turn out to be. That consistency is what makes it defensible.

Screen 5 • Journals

Open: Run & JEs, filtered to 1 January 2026.

	DR	CR
Modification loss	44000 Modification Gain / Loss	15000 Loan Asset Adjustment

One entry, and only one. Point at what is *absent*: there are no write-off journals. No 145000 allowance consumption, no 470000 impairment residual. The forgiveness is not being written off against the allowance — it is a renegotiated cash flow, and the modification entry carries its entire effect.

Say: this matters for anyone reconciling the impairment note. A reader who expects a 15,000,000 movement through the allowance will not find one, and should not. The allowance reflects expected credit losses on what is still owed; the concession reduced what is owed.

If someone asks why it is not against the allowance: because the lender had not given up hope of recovery — it gave up the right. Those are different events with different standards behind them, and the one that applies here is §5.4.3.

Screen 6 • ECL and the close

Open: the ECL Calculation Trace.

Point at: Stage 3, PD 100%, LGD 45%, and the allowance measured on the *net* carrying amount.

Close on this: three restructurings, three completely different outcomes — a 12m gain, a half-percent wash, a 13m loss. None of them was typed in. Each is derived from the revised cash flows and the original effective rate, with the build-up on screen and every input traceable to a field somebody filled in.

Deal 4 — A distressed purchase, and why POCI is different

DEMO-POCI • Meridian Steelworks (in restructuring) • par USD 100,000,000

The story

A direct lending fund buys a loan in the secondary market on 1 January 2026. Par value 100,000,000, contractual coupon 8%, maturing 31 December 2031. The borrower is in serious difficulty — leverage at 8.2x against a 4.5x covenant, interest cover at 0.9x against a 2.0x minimum, both subsisting breaches. The fund pays **60,000,000**.

The 40,000,000 discount is not a bargain and it is not a liquidity premium. It is the fund's own estimate of what it does not expect to collect. That single fact changes the accounting completely.

Lead with the contrast, not the mechanics

This is the deal where you should state the conclusion first, because the whole section is counter-intuitive until the audience sees why.

Deals 1 to 3 were loans we already held when the borrower got into trouble. We had an original effective rate, and we measured the change against it. This loan arrived *already* impaired. There is no “before”. IFRS 9 therefore treats it as a different kind of asset from the day it is recognised — and the differences are absolute, not matters of degree.

	An ordinary loan	A POCI asset
Effective rate	discounts contractual cash flows	discounts cash flows expected to be collected
Day-one allowance	12-month ECL raised immediately	none at all
Stages	1 → 2 → 3, with SICR assessment	no stages, ever
What hits P&L	the ECL level	only the change in lifetime ECL since acquisition

Screen 1 · Loan Builder — the purchase facts

Open: Stage 0 · Loan Builder, Tranche A card.

Point at, in this order:

Field	Value
Face value	100,000,000
Consideration paid	60,000,000
Credit impaired at acquisition	Yes

Say: three fields, and the third one changes everything the module does with the other two. Without that flag the engine treats this as an ordinary loan bought at a deep discount and accretes the whole 40,000,000 into interest income over six years. With it, the engine takes a completely different path.

Screen 2 · Covenants — the evidence of impairment

Open: the Covenants card.

	Threshold	Last reported	Status
Leverage ratio	max 4.50x	8.20x	breached
Interest cover ratio	min 2.00x	0.90x	breached

Say: this is the documentary support for the POCI classification. “Credit impaired at acquisition” is not a label the fund chooses for convenience — §5.5.13 requires objective evidence, and subsisting

covenant breaches of this magnitude are exactly that. Interest cover below 1.0x means earnings do not cover the interest bill. The auditor will ask what justified the classification; this screen is the answer.

Screen 3 · Accounting Treatment — the one input that cannot be inferred

Open: Stage 2 · Accounting Treatment.

Point at: Lifetime ECL at acquisition = 40,000,000, and at ECL Stage, which is blank.

Say two things.

The stage is deliberately empty. A POCI asset has no stage. If you find yourself asking whether this loan is Stage 2 or Stage 3, the question does not apply — it is POCI, and it stays POCI until it is derecognised, however much the borrower recovers.

The lifetime ECL is an input, not a derivation. The module will not infer it from the 40,000,000 discount, and this is worth dwelling on. A discount to par can be credit, it can be illiquidity, it can be a motivated seller. Assuming the whole discount is credit would manufacture the single most important input to the calculation. So the engine requires it, and refuses to produce a rate without it:

“Credit-impaired at acquisition, but no lifetime expected credit loss was stated at the acquisition date... a discount to par may be credit, liquidity or a bargain, and assuming it is all credit would invent the number the whole calculation depends on.”

If anyone in the room has seen a system quietly default this to the discount, that is the moment to mention it.

Screen 4 · Run accounting, then the credit-adjusted EIR

Open: Run & JEs → Run Accounting → Evidence Pack, EIR panel.

This is the centrepiece of deal 4.

Par / face value	100,000,000
Consideration paid	60,000,000
Lifetime ECL at acquisition	40,000,000
Expected principal recovery	60,000,000
Contractual coupon	8.00%
Horizon	31 Dec 2031 (6.08 yrs)

Cash flows EXPECTED to be collected, discounted to 60,000,000:

Interest at 8% on par, years 1 to 6	
Expected principal recovery at maturity	60,000,000

CREDIT-ADJUSTED EIR	13.34%
Ordinary EIR on contractual flows would be	19.92%

Three things to say:

The gap between the two rates is the entire point. 19.92% is what the module would have reported if it discounted the contractual cash flows — the 100,000,000 the fund is legally owed. 13.34% is what it reports when it discounts the 60,000,000 it actually expects. The difference is not a rounding convention; it is the difference between treating a credit loss as yield and treating it as a credit loss.

Quantify it, because the number lands. Over the life of this asset the ordinary method would accrete the full 40,000,000 discount into interest income — roughly 4,000,000 a year of revenue that does not exist. The fund’s income statement would show a book yielding 20% on a loan that is not paying.

And the error never self-corrects. It is not a timing difference that washes out at maturity. The income is recognised, and then the asset is written down later — so profit is overstated in the early years and the loss is taken as a surprise at the end. That is why the module refused to guess before V4.14 rather than producing a plausible figure.

Screen 5 • The balance sheet — note what is *not* there

Open: the ECL Calculation Trace panel. Scroll to the acquisition date.

Point at: the allowance on 1 January 2026, and on every day of 2026 and 2027. It is **zero**.

Say: on an ordinary loan of this quality you would expect a substantial day-one allowance — Stage 3, lifetime ECL, a large charge the moment it hits the books. There is none here, and that is not an omission. §5.5.13 forbids it. The expected losses are already in the price the fund paid and already embedded in the 13.34% rate. Raising an allowance as well would charge for the same losses twice and depress the carrying amount below what the fund paid for the asset on the day it bought it.

The carrying amount opens at 60,000,000 and stays there. Interest income at 13.34% on 60,000,000 is almost exactly the 8,000,000 of cash coupon received, so there is minimal accretion. The fund paid 60, expects 60 back, and earns 13.34% on its money in the meantime. The balance sheet says precisely that.

Screen 6 • Scenario A — the borrower improves

Open: the ECL Calculation Trace, and scroll to 1 January 2028.

The deal carries one revision: two years after purchase, the fund's credit process revises lifetime expected losses **down from 40,000,000 to 25,000,000**.

Lifetime ECL at acquisition	40,000,000
Lifetime ECL at 1 Jan 2028	25,000,000
Cumulative change since acquisition	(15,000,000)
Allowance carried	(15,000,000)
P&L effect	impairment GAIN 15,000,000

	DR	CR
Impairment gain	145000 Loan Loss Allowance	470000 Impairment / ECL Expense

Three things to say:

Only the change goes to P&L, never the level. The fund still expects to lose 25,000,000 on this loan. It does not book a 25,000,000 allowance — that loss was priced in at acquisition. It books the 15,000,000 *improvement*. This is the single most common point of confusion with POCI, so say it twice if you need to.

The allowance goes negative, and that is correct. §5.5.14 requires favourable changes in life-time expected losses to be recognised as an impairment gain *even where they exceed the amount previously recognised in the allowance*. Carrying a negative allowance looks strange on a trial balance; in presentation it is an addition to the gross carrying amount rather than a contra-asset. Flag it as a presentation question for the reporting team, not a calculation error.

No stage moved, because there are no stages. On deals 1 to 3 an improvement of this magnitude would have triggered a transfer back toward Stage 1 and a different measurement basis. Here nothing moves. The asset is POCI on the day it is bought and POCI on the day it is repaid.

Screen 7 · Scenario B – the borrower deteriorates

Say, without changing the deal: change the revision from 25,000,000 to 50,000,000 and the module books the mirror image.

Lifetime ECL at acquisition	40,000,000
Lifetime ECL at 1 Jan 2028	50,000,000
Cumulative change since acquisition	10,000,000

P&L effect	impairment LOSS	10,000,000
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	DR	CR
Impairment loss	470000 Impairment / ECL Expense	145000 Loan Loss Allowance

Say: symmetric, and measured the same way. The fund expected to lose 40,000,000; it now expects 50,000,000; the additional 10,000,000 is the charge. Not 50,000,000 — the first 40,000,000 was paid for in the purchase price.

If you want to run this live, change the figure in Accounting Treatment and re-run. Nothing else on the deal needs to move, which is itself a useful thing to demonstrate: the credit-adjusted rate is **not** re-solved. §B5.4.7 fixes it at initial recognition; later changes in expectation flow through impairment, not through the yield.

Screen 8 · Close on the comparison

Put deal 1 and deal 4 side by side. Same borrower profile — severe financial difficulty, covenant breaches, high probability of default. Completely different accounting.

	Deal 1 — held, then modified	Deal 4 — purchased impaired
Effective rate	9.00%, original, held	13.34%, credit-adjusted
Day-one allowance	yes, Stage 3	none
Stage	3	n/a
Distress recognised via	ECL charge	the price paid
Later changes	stage transfers and ECL	change in lifetime ECL only

Close on this: IFRS 9 does not have one answer for distressed debt. It has two, and which one applies turns on a single question — *was it impaired when we recognised it?* The module asks that question once, on the tranche, and everything downstream follows from the answer.

Deal 5 – Fees integral to the effective rate

DEMO-FEES-EIR · Pennine Infrastructure Partners · USD 100,000,000

The story

A 100,000,000 facility is committed on 1 January 2026 at 8% fixed, maturing 28 February 2031. The borrower pays a 2% arrangement fee — 2,000,000 — on the commitment date. The facility is not drawn until **1 March**.

Two months in which the lender holds the borrower's money and has made no loan. That gap is the entire reason this deal exists.

The idea to state first

A fee like this is not a sale. The lender has not delivered a service for 2,000,000 — it has reduced the price of the loan it is about to make. IFRS 9 says so by folding the fee into the effective interest rate: the lender advances 100,000,000 but is economically out only 98,000,000, and the difference is earned as interest over five years, not as revenue in one day.

Then the awkward question: **what is the fee on 15 January, when the money has arrived and the loan has not?** Not income — the yield has not been earned. Not a contra against the loan — there is no loan. It is a liability. That is the one point this deal exists to demonstrate, and most systems get it wrong by netting it against a nil asset and showing a negative loan balance.

Screen 1 · Loan Builder — the timeline

Open: Stage 0 · Loan Builder, Deal Setup and the Tranche A drawdown card.

Point at three dates:

Commitment / signing	1 January 2026
Arrangement fee received	1 January 2026
First drawdown	1 March 2026
Maturity	28 February 2031

Say: note that drawn-at-inception is zero and there is a single drawdown event two months later. The module treats this as a delayed-draw facility — the loan asset does not exist until 1 March, and everything that happens before then has to be accounted for without one.

Screen 2 · The fee, and the one field that changes everything

Open: the Fees card.

Field	Value
Label	Arrangement fee (2% of commitment)
Kind	arrangement
Amount	2,000,000 one-off
Payment date	1 January 2026
IFRS treatment	IFRS9-EIR

Say: that last field is the whole decision. Set it to IFRS9-EIR and the fee is integral to the yield — it reduces the carrying amount and accretes back over the life. Set it to IFRS15-overTime and it is payment for a service, recognised as revenue, and it never touches the effective rate.

Make the contrast concrete: the same 2,000,000 is either 2,000,000 of income in January 2026, or 48 basis points of extra yield spread across five years. Same cash, same contract, completely different income statement. Origination, arrangement and underwriting fees are normally the first; a genuine advisory or agency fee is the second.

Screen 3 · The undrawn period — the journals most systems get wrong

Open: Run & JEs. Press **Run Accounting**, then filter the journal table to 1 January 2026.

	DR		CR
Fee received	111000	Cash 2,000,000	211000 Deferred Fee Liability 2,000,000

Say three things:

Not income. The lender has not yet earned anything. Recognising revenue here would book a return on a loan that has not been made.

Not a contra-asset either. There is no loan asset on 1 January. Netting the fee against it would produce a carrying amount of *minus* 2,000,000 — a negative loan on the balance sheet, which is not conservative, it is impossible.

So it is a liability. Cash the lender holds against a commitment it has not yet funded. Account 211000. Open the Cashflow tab and point at the carrying amount through January and February: it is **zero**, not negative.

Worth saying out loud: this was a real gap in the module until this release. The chart of accounts had no deferred fee liability at all, and the fee netted against a nil asset from day one. It was found by building this very deal.

Screen 4 • Drawdown — the release

Open: the same journal table, filtered to 1 March 2026.

	DR	CR
Release on drawdown	211000 Deferred Fee Liability 2,000,000	141000 Loan Asset 2,000,000

Alongside it, the drawdown itself: DR 141000 Loan Asset 100,000,000 / CR 111000 Cash 100,000,000.

Say: the liability is extinguished against the asset it was always going to attach to. Net effect on the balance sheet:

Loan principal advanced	100,000,000
Less deferred arrangement fee	(2,000,000)
Amortised cost at 1 March 2026	98,000,877

That is your Example 1, to the dollar. The 877 is two months of day-count rounding on the ACT/360 basis, not an error — point at it before someone else does.

Screen 5 • The EIR build-up

Open: the Evidence Pack, EIR panel.

Amount advanced	100,000,000
Yield-integral fees	(2,000,000)
Opening carrying amount at drawdown	98,000,877

Contractual coupon	8.0000%
EFFECTIVE INTEREST RATE	8.4855%

Say: 48 basis points, and those 48 basis points *are* the fee. The lender quotes 8% and earns 8.4855%, because it put out 98 and gets back 100 while collecting 8% on the full 100 throughout.

If anyone asks why the rate is not simply 8% plus 2% divided by 5: because the fee is earned on a compounding basis over a declining investment horizon, not spread straight-line. The difference is small here and large on a longer or amortising deal — which is the reason to solve it rather than approximate it.

Screen 6 · The accretion — where the fee actually goes

Open: the Cashflow tab, carrying value column or chart.

Date	Carrying amount
28 Feb 2026 (undrawn)	0
1 Mar 2026 (drawdown)	98,000,877
1 Mar 2027	98,335,253
1 Mar 2029	99,097,951
28 Feb 2031 (maturity)	100,000,000

Say: this curve is the fee being recognised. Interest income each period is the carrying amount times 8.4855%, while cash received is the principal times 8.00%. The gap — a few hundred thousand a year — is accreted into the carrying amount, and by maturity it has climbed exactly to par. No residual, no plug.

The sanity check to offer unprompted: total interest income over the life equals the cash coupons plus 2,000,000. The fee is not created or destroyed, only re-timed. That is the test to apply to any system claiming to do EIR.

Screen 7 · Example 2 — the commitment fee variant

Say, without changing the deal: a commitment fee on an undrawn facility — 1% a year on 200,000,000, say — runs through the same machinery, but the trigger is a judgement rather than a date.

If drawdown is...	Treatment
probable	the fee compensates for a loan about to be made — defer it, and fold it into the EIR when the facility is drawn, exactly as above
not probable	the fee compensates for standing ready — recognise it over the commitment period under IFRS 15

Say: the module does not make that judgement for you, and should not. You express it with the same IFRS treatment flag from Screen 2. Flag it IFRS9-EIR and the deferred fee liability path runs; flag it IFRS15-overTime and it is recognised as non-use fee income over the commitment period.

Flag the limitation honestly: the deferred path currently handles **one-off** fees. A commitment fee that accrues periodically across an undrawn period is recognised as income rather than deferred. If you need that, model it as a one-off at the point the undrawn period ends, and say so.

Screen 8 · Close

Three numbers, in this order:

- **2,000,000** — what the borrower paid
- **nil** — what hit the income statement in January
- **48 basis points** — how it is actually earned, over five years

Close on this: the fee never becomes revenue. It becomes yield. The only question a system has to answer correctly is *where it sits in the meantime* — and the answer is a liability, not income and not a negative asset.

Appendix A — What to do when someone challenges a number

“Why is deal 1 a gain when the borrower is distressed?” Because modification accounting measures the change in the *bargain*, not the change in the *borrower*. The lenders improved their terms. Credit deterioration is measured separately, in the ECL. Show both panels side by side.

“Where does the original EIR come from?” It is the rate solved at initial recognition and held. Open the EIR Trace in the Evidence Pack — it shows the cash flows, the bisection iterations and the converged rate. On a loan drawn at par with no fees, the EIR equals the coupon and the module says so explicitly rather than presenting a coupon as a solved rate.

“Two of your three deals breach the 10% test. Isn’t the configuration wrong?” The configuration says non-substantial; the module says the test is breached. That disagreement is deliberate and visible. Substantial treatment requires derecognition and recognition of a new financial asset, which is a different workflow — the module flags when you are in that territory rather than deciding for you.

“Can I see the cash flows that were discounted?” Yes — the build-up lists them with dates and amounts. For deal 1 that is 23 flows: the fee at $t=0$, twenty-one quarterly coupons, and the principal.

“What if we want to override the derived figure?” A supplied value still takes precedence. The derivation runs anyway and both are reported, with the difference shown. The system will not silently prefer one over the other.

“On deal 4, why is there no allowance on day one? That loan is clearly bad.” Because the fund already paid for the badness. It bought a 100,000,000 claim for 60,000,000 precisely because 40,000,000 is not expected to arrive. Raising an allowance as well would charge for the same loss twice and carry the asset below what was paid for it on the day of purchase. §5.5.13 is explicit.

“Deal 4’s allowance goes negative. Is that a bug?” No — §5.5.14 requires favourable changes in lifetime expected losses to be recognised as a gain even where they exceed the amount previously recognised. The presentation question (contra-asset versus an addition to gross carrying amount) is for the reporting team; the measurement is correct.

“Why doesn’t the credit-adjusted rate get re-solved when expectations change?” §B5.4.7 fixes it at initial recognition. Later changes in expected cash flows run through impairment, not through the yield. If the rate moved as well, the same change in expectation would be counted twice.

“Where did the 40,000,000 expected loss come from?” From the fund’s own underwriting, entered in Accounting Treatment. The module will not infer it from the purchase discount and refuses to produce a rate without it — a discount to par may be credit, liquidity or a bargain.

“On deal 5, why 98,000,877 rather than exactly 98,000,000?” Day-count. The 877 is two months of ACT/360 rounding between the commitment date and the drawdown. Point at it before someone else does — an unexplained 877 looks like a defect, an explained one looks like precision.

“Could we just recognise the arrangement fee as revenue? It is cash in hand.” Only if it is payment for a separate service. An arrangement, origination or underwriting fee is compensation for making the loan, so IFRS 9 §B5.4.1 treats it as part of the yield. The test is whether the lender would still be owed the fee if no loan were ever made.

“Is the deferred fee liability a real account or a presentation device?” A real liability for as long as the facility is undrawn. The lender holds cash against a loan it has not yet funded. Once drawn it is released against the asset and never appears again.

“What if the facility is never drawn?” Then the fee was earned for standing ready, not for lending, and it is IFRS 15 income over the commitment period. The deferred fee liability would be released to income rather than against an asset. The module does not currently automate that release — it is a manual judgement at the point the commitment lapses.

Appendix B — Known limitations, state them before you are asked

Credibility is cheaper to keep than to recover. If any of these are likely to come up, say them first.

The derivation assumes contractual cash flows, not expected ones. IFRS 9 §5.4.3 is framed in terms of revised *contractual* cash flows for a non-substantial modification, which is what is implemented. Stage 3 measurement on an expected-cash-flow basis is handled in the ECL engine, separately.

Interest is projected at the rate in force after the modification. On a floating deal the module revises the EIR at each reset under the workspace policy, but the modification-date projection uses the post-modification rate held flat. On a deal with a steep forward curve that is an approximation.

The 10% test is reported, not enforced. Nothing stops you running non-substantial treatment on a deal that breaches it.

PIK capitalisation may not reach the principal roll-forward on every path. If a balance looks lower than the PIK accrual implies, that is the cause. It is a known open item.

Deal 1's PIK year relies on two components with complementary date windows. It produces the right answer, but it is a modelling convention rather than a first-class feature. Date-windowed settlement types are on the roadmap.

On deal 4, interest is projected at the full contractual rate and the whole expected shortfall is taken against principal. This is a deliberate choice: the lifetime ECL supplied *is* the expected shortfall, so haircutting projected interest as well would make total expected losses exceed the figure entered and contradict the number the rate is solved against. A fund that also expects to lose interest should express that by raising the lifetime ECL. Say so if anyone asks how the expected cash flows were built.

The credit-adjusted EIR is solved on an annual projection. Same approximation as the ordinary EIR display path — adequate on a bullet, less so on a heavily amortising distressed asset with an irregular recovery profile.

The POCI ECL revisions are dated facts, not a model. The module does not project how expectations will evolve; it records the restatements the credit team makes and books the change. That is the right division of labour, but it does mean a deal with no revisions entered will show no impairment movement at all.

The deferred fee path handles one-off fees only. A commitment fee accruing periodically across an undrawn period is recognised as income rather than deferred into the EIR. Model it as a one-off at the end of the undrawn period if the deferral matters.

An undrawn facility that is never drawn does not release its deferred fee automatically. The liability stays until someone decides whether the commitment lapsed, which is a judgement rather than a date.

Deal 1's PIK runs for the whole life in the measurement, not just the amendment year. The two-component structure bounds the PIK year correctly for interest accrual, but the tranche-level PIK rate the engine measures against has no end date. So the modification derivation projects — and discounts at — PIK for the full remaining term. The figure is internally consistent, and it is the right order of magnitude, but a bounded PIK window would produce a smaller gain. Say so if anyone asks why the discount rate is 20%.

Deal 5's effective rate is solved from the first drawdown, not from signing. That is correct — nothing is invested before then — but it means a facility with several staggered draws anchors on the first one. On a genuinely ladder-drawn profile the rate is an approximation.

Appendix C — Reference

Deal	Code	UUID
Stage 3 Modification Example	DEM0-MOD-S3	e76df246-7a75-473a-b2c4-cfafc19c170e
Payment Deferral and PIK Split Example	DEM0-DEFER-PIK	fed30745-39b8-421d-a658-11b051473b7d
Principal Forgiveness and Extension Example	DEM0-FORGIVE-S3	d9db5e2d-ed68-472d-a056-f384d82e856e
POCI Distressed Purchase Example	DEM0-POCI	f0ef9565-8fdc-49ad-9dc4-6fe681903f2b
Integral Fees and Deferred Fee Example	DEM0-FEES-EIR	0a8f90f9-f7c4-4297-baeb-b1bbf0679a3e

Modification figures, as produced by the engine at V4.17

Deal	Pre-mod carrying	Original EIR	PV revised	Gain / (loss)	PV change	Flows
1	98,000,000	20.386% ¹	106,033,913	8,033,913	+8.17%	23
2	80,000,000	10.00% ¹	80,393,618	393,618	+0.49%	28
3	99,342,380	8.6603%	86,220,347	(13,122,033)	-13.21%	21

¹ On a deal where interest settles in kind, the discount rate is the solved effective rate plus the PIK element, because the cash flows being discounted include interest that capitalises. Rate and cash flows must be on the same basis.

ECL allowances at peak exposure — all five verified at V4.20

Deal	Stage	LGD	Peak allowance	% of exposure
1	3	40%	40,000,000	40.0%
2	2	40%	10,000,000	10.0%
3	3	45%	45,000,000	45.0%
4	POCI	—	0 at acquisition	0%
5	1	30%	150,000	0.15%

Every batch balances and nothing is unmapped.

POCI figures — deal 4

Par / consideration	100,000,000 / 60,000,000
Lifetime ECL at acquisition	40,000,000
Expected principal recovery	60,000,000
Contractual coupon	8.00%
Credit-adjusted EIR	13.34%
Ordinary EIR would have been	19.92%
Day-one allowance	nil
Scenario A — ECL 40M → 25M	impairment gain 15,000,000
Scenario B — ECL 40M → 50M	impairment loss 10,000,000

Integral fee figures — deal 5

Facility / drawdown	100,000,000 · 1 Mar 2026 (committed 1 Jan 2026)
Arrangement fee	2,000,000, IFRS9-EIR
Carrying amount while undrawn	0 — fee held as a liability, not netted

Amortised cost at drawdown	98,000,877
Contractual coupon	8.0000%
Effective interest rate	8.4855%
Carrying amount at maturity	100,000,000 — fee fully accreted

Date		DR	CR
1 Jan 2026	fee received	111000 Cash	211000 Deferred Fee Liability
1 Mar 2026	release	211000 Deferred Fee Liability	141000 Loan Asset

Standards cited

Reference	Subject
IFRS 9 §5.4.3	Modification of contractual cash flows — recalculate at the original EIR
IFRS 9 §B5.4.6	Fees between borrower and lender; the 10% substantial-modification test
IFRS 9 §5.4.1(b)	Stage 3 — interest on the net carrying amount
IFRS 9 §5.5.17(k)	Covenant breach as a qualitative SICR indicator
IFRS 9 §B5.4.1	Effective interest rate
IFRS 9 §5.5.13	POCI — no day-one loss allowance
IFRS 9 §5.5.14	POCI — only cumulative changes in lifetime ECL go to P&L, including gains
IFRS 9 §B5.4.7	Credit-adjusted effective interest rate, fixed at initial recognition
IFRS 9 §B5.4.1	Fees integral to the effective rate — origination, arrangement, underwriting
IFRS 9 §B5.4.2	Fees that are NOT integral — recognised under IFRS 15
IFRS 15	Commitment fees where drawdown is not probable — revenue over the commitment period